Summary of Module 3: Competition Law in the Data-Driven Economy

This summary provides a comprehensive analysis of Module 3, which focuses on the intersection of competition law and the data economy. The primary lecture material, `Lecture Competition Law - MOK - FINAL.md`, serves as the narrative backbone. This document expands on the lecture's key points by integrating detailed arguments and case analyses from supplementary materials, including `Data and competition law (Podszun & Kreifels).md` and the `European Parliament - EU Competition Policy Factsheet 2024.md`.

1. The Purpose and Objectives of Competition Law

Competition law is a cornerstone of the European Union's internal market. Its fundamental goal is to ensure that markets remain open, fair, and contestable. As outlined in the lecture and the `European Parliament - EU Competition Policy Factsheet 2024.md`, the policy serves several interconnected objectives:

- **Facilitating the Single Market**: The "founding fathers of Europe" recognized that a single market could not function without a strong, centrally enforced competition policy to prevent fragmentation by private actors.
- **Maximizing Consumer Welfare**: In a competitive market, firms are under constant pressure to offer the best possible products at the lowest prices. This prevents the high prices, reduced choice, and lower quality characteristic of monopolies.
- **Promoting Economic Efficiency**: Competition drives an efficient allocation of resources. This includes:
  - **Allocative Efficiency**: Resources are directed towards producing the goods and services consumers value most.
  - **Productive (Cost) Efficiency**: Firms have incentives to minimize costs.
  - **Dynamic Efficiency**: Firms are pushed to innovate to gain a competitive edge.
- **Protecting the Competitive Process**: The law aims to protect the structure of the market itself, ensuring that competition as a process is not distorted.

Historically, modern competition law traces its roots to the late 19th-century United States with the **Sherman Act of 1890**. This legislation was a direct response to the immense market power consolidated by industrialists known as the "Robber Barons," who controlled key sectors like oil and railways through trusts and monopolies. This historical context underscores the enduring purpose of competition law: to prevent the concentration of economic power from undermining the market.

2. The "Big Data" Challenge to Traditional Competition Law

The digital economy, powered by data, presents a profound challenge to the traditional tools and assumptions of competition law. Data is often called the "new oil," the most valuable resource of the modern era, and the companies that control it—the "Big Tech" giants—have become the most valuable in the world.

As the lecture highlights, this shift forces a re-evaluation of the core parameters of competition:

- **Price**: Many digital services are offered for "free," with users paying with their data. This complicates analyses based on monetary price, such as the SSNIP test used for market definition, which measures consumer reaction to a "small but significant non-transitory increase in price."
- **Quality**: In data-driven markets, privacy can be seen as a dimension of quality. The degradation of privacy standards could be a form of non-price competition or even an exploitative abuse, a concept explored in the German Facebook case.
- **Choice & Output**: The accumulation of vast, unique datasets can create insurmountable barriers to entry, potentially locking consumers into a single ecosystem and reducing choice.
- **Innovation**: While data can fuel innovation, its concentration can also be used to stifle it by acquiring or eliminating potential challengers.

The paper `Data and competition law (Podszun & Kreifels).md` further details these challenges, identifying several paradigm shifts: * **Multi-Sided Markets and Network Effects**: Platforms like Google and Facebook operate in multi-sided markets (e.g., connecting users, advertisers, and developers). They benefit from powerful **network effects**: the more users a platform has, the more valuable it becomes for other users (direct effect) and for users on the other side of the market, like advertisers (indirect effect). This can lead to a "winner-takes-all" dynamic where the market "tips" in favor of one dominant platform, making its position unchallengeable. * **Gatekeeper Control**: These platforms become powerful **gatekeepers**, controlling access to customers and data, which can disrupt traditional business relationships and distort the market's coordination process.

3. The Legal Framework of EU Competition Law

The EU's competition policy is enshrined in the Treaty on the Functioning of the European Union (TFEU). The framework rests on three main pillars, enforced primarily by the European Commission:

1. **Anti-Competitive Agreements (Article 101 TFEU)**: Prohibits agreements and concerted practices between undertakings that restrict competition (e.g., cartels).

2. **Abuse of a Dominant Position (Article 102 TFEU)**: Prohibits dominant firms from abusing their market power to harm competition or exploit consumers.
3. **Merger Control (Regulation (EC) No 139/2004)**: Allows the Commission to review and block mergers and acquisitions that would "significantly impede effective competition."

A fourth pillar, **State Aid (Article 107 TFEU)**, controls subsidies granted by Member States to ensure they do not distort competition, but it is not the focus of this module.

4. Pillar 1: Merger Control in the Data Age

The Merger Regulation requires the Commission to block concentrations that would **significantly impede effective competition (SIEC)**. The rise of data has forced the Commission to adapt its analysis, as seen in several landmark cases cited in the lecture.

- **Facebook/WhatsApp (2014)**: This case epitomized the challenge of data-driven mergers. Facebook acquired WhatsApp for $19 billion, despite WhatsApp having negligible revenue. The deal did not meet traditional EU turnover thresholds for merger review, and jurisdiction was only established through a referral from national authorities. The Commission cleared the merger unconditionally, arguing that the companies were not close competitors and that the market for consumer communications was dynamic with low barriers to entry. Crucially, the Commission stated that "Any privacy-related concerns… do not fall within the scope of EU competition law."
  - **Argument & Analysis**: As detailed in `Data and competition law (Podszun & Kreifels).md`, this decision was highly controversial. It seemed to underestimate the power of data concentration. The Commission's stance was later undermined when it fined Facebook €110 million in 2017 for providing misleading information during the review, having claimed it was technically impossible to automatically match user accounts between the two services—a feature that was later introduced. This case led Germany to amend its competition law to include transaction value thresholds, ensuring such acquisitions are captured in the future.
- **Microsoft/LinkedIn (2016)**: In contrast to the WhatsApp deal, this merger was approved *with conditions*. The Commission's concern was not just data concentration, but how Microsoft could leverage its dominance in PC operating systems (Windows) and productivity software (Office) to foreclose competitors to LinkedIn.
  - **Argument & Analysis**: The Commission feared Microsoft would pre-install LinkedIn on Windows and integrate it deeply into Office, denying competitors access to its APIs. This would reinforce LinkedIn's network effects and potentially "tip" the professional so-

cial networking market. The remedies (commitments) required Microsoft to *not* force pre-installation and to allow competing networks to maintain interoperability with Office, demonstrating a more sophisticated understanding of leveraging and foreclosure in digital ecosystems.

- **Google/Fitbit (2020)**: This merger raised concerns that Google would combine Fitbit's health data with its existing user data, strengthening its dominance in online advertising and creating barriers to entry in the nascent digital health market.
  - **Argument & Analysis**: The Commission approved the merger subject to a key commitment: Google had to maintain a **"data silo,"** legally promising not to use the health and wellness data from Fitbit for Google Ads. This remedy shows a direct attempt to neutralize the anti-competitive potential of data combination, a significant evolution from the hands-off approach in the Facebook/WhatsApp case.

5. Pillar 2: Anti-Competitive Agreements (Article 101 TFEU)

Article 101 prohibits agreements or "concerted practices" that have the object or effect of restricting competition. This includes classic cartels (price-fixing, market sharing) but also more subtle forms of coordination.

- **Google & Meta ("Jedi Blue") (Ongoing)**: The lecture mentions this ongoing investigation. The Commission is concerned that an agreement between Google and Meta for Meta's participation in Google's "Open Bidding" ad program was secretly designed to exclude competing ad tech services, thereby rigging the market for online display advertising. This case examines whether a bilateral agreement can function as a tool to cement the market power of two of the largest players.
- **Information Exchange & Data Pooling**: The paper `Data and competition law (Podszun & Kreifels).md` discusses the traditional stance on data sharing, established in **Asnef Equifax**. Data pooling among competitors is permissible only under strict conditions: it must not be discriminatory (no exclusive "clubs"), and the data should be aggregated and anonymized. This framework is difficult to reconcile with the modern data economy, where the value often lies in granular, specific data. The **HERE** case, where German car manufacturers were allowed to jointly acquire a mapping service to compete with Google, shows authorities may be willing to permit data cooperation to create a counterweight to a dominant player, suggesting a more dynamic approach may be needed.

6. Pillar 3: Abuse of a Dominant Position (Article 102 TFEU)

Article 102 is crucial for regulating the conduct of Big Tech. It does not prohibit dominance itself, but it gives dominant firms a "special responsibility" not to abuse their power. An abuse can be **exploitative** (e.g., imposing unfair prices or conditions on consumers) or **exclusionary** (e.g., hindering competitors).

- **The Microsoft Case (2004)**: This foundational case, discussed in both the lecture and the supplementary paper, established key principles. Microsoft was found to have abused its dominance in PC operating systems by withholding interface information (data) that competitors needed to make their server software interoperable with Windows.
  - **Argument & Analysis**: The Commission forced Microsoft to disclose the data, establishing that under "exceptional circumstances," a dominant firm may have a **duty to supply** an indispensable asset (in this case, data) to competitors to prevent the elimination of competition and harm to technical development. This case is the direct predecessor to modern debates about data access and interoperability.
- **The German Facebook Case (Bundeskartellamt, confirmed by CJEU)**: This landmark case directly linked data protection to competition law. The German competition authority (Bundeskartellamt) found that Facebook abused its dominance by forcing users to agree to the combination of their data from across its various services (Facebook, Instagram, WhatsApp) and third-party websites, in violation of GDPR principles.
  - **Argument & Analysis**: This was considered an **exploitative abuse**. Because Facebook was dominant, users had no real choice but to accept these terms. The authority argued that the "take-it-or-leave-it" nature of the consent was an unfair trading condition prohibited by Article 102. The Court of Justice of the EU (CJEU) ultimately confirmed that a competition authority *can* consider infringements of other regulations, like the GDPR, as an indicator of an abuse of dominance, marking a pivotal integration of privacy norms into competition analysis.
- **Google Shopping (2017)**: The Commission fined Google €2.42 billion for abusing its dominance in general search to favor its own comparison shopping service.
  - **Argument & Analysis**: This was an exclusionary abuse known as **self-preferencing**. Google systematically gave its own "Google Shopping" service prominent placement in search results while demoting rival services. The abuse stemmed from Google leveraging its power as a gatekeeper in one market (general search) to gain an unfair advantage in an adjacent market (comparison shopping).

7. EU vs. US Competition Law

The lecture concludes by contrasting the EU and US approaches. While the legal tools are similar, the objectives and enforcement philosophies differ:

- **Main Objective**: The EU has a broader focus on the **internal market, fairness, and protecting the competitive process**, which has allowed it to more readily integrate concepts like data protection. The US has traditionally followed a stricter, more economics-driven **"consumer welfare"** standard, primarily concerned with impacts on price and output.
- **Enforcement**: EU enforcement is primarily administrative (led by the Commission), while the US system has a stronger criminal law component (led by the Department of Justice and the Federal Trade Commission).
- **Fines**: The EU can impose massive fines (up to 10% of global turnover), as seen in the Google cases, which often exceed those in the US.

This difference in philosophy explains why the EU has been more aggressive in pursuing Big Tech cases, particularly those involving non-price-related theories of harm like self-preferencing and exploitative data collection.